some markets. As long as the winners pay for the losers, it is worth having these markets in for diversification. You never know when the market regime will switch and the losing market becomes the winner. I cannot stress enough the importance of multiple markets. Using a single strategy on a single instrument is for those people with either extreme skill or for those who simply have a death wish.

There is often a trade-off between number of markets and complexity of the strategy. More markets can increase diversification and create more trading opportunities but adding too many will complicate your strategy and your operational side. The exact number you settle on should be a result of your own simulations and matching your risk acceptance. I will use a fairly well balanced and broad universe here, one with a tilt towards agriculture (Table 3.2).

TABLE 3.2 **The investment universe**

Agricultural	Non-Agricultural	Currencies	Equities	Rates
Cotton	Gasoil	AUD/USD	CAC 40	Bunt
Corn	Light sweet crude oil	GBP/USD	DAX	Schatz
Lumber	Heating oil	EUR/USD	FTSE 100	Long Gilt
Live cattle	Brent Crude	JPY/USD	HS China Enterprises	Canadian Bankers' Acceptance
Lean hogs	Natural gas (HH)	NZD/USD	Hang Seng	US 2-year note
Oats	Gasoline	CHF/USD	Nasdaq 100	US 10-year note
Rough rice	Gold	CAD/USD	Nikkei 225	Eurodollar
Soybeans	Copper	MXN/USD	S&P 500	Euroswiss
Sugar 11	Palladium	Dollar Index	Euro Stoxx 50	Euribor
Wheat Chicago	Platinum		Russell 2000	Short sterling
Soybean Oil	Silver		S&P 400	Euro-BTP Long-Term
Cocoa			S&P/TSX 60	Euro-Bobl
Milk Class III			Dow Jones	5-Year U.S. T-Note
Feeder Cattle			Volatility Index	U.S. T-Bond
Coffee Arabica				10-Year Govt. of Canada Bond
Coffee Robusta				30 Day Federal Funds
Wheat Kansas				
Sugar White				
Orange Juice				
Canola				
Soybean Meal				